

AIB AXYS AFRICA

www.aib-axysafrica.com

Stockbroking | Bond Trading | Corporate Finance | Derivatives

Safaricom FY2021 Earnings Update

Safaricom announced its FY21 results, reporting a 6.8% decrease in profit after tax from KES 73.66Bn to KES 68.68 Bn. This was below our expectations. The uncertainty during the Covid-19 pandemic disrupted businesses and reduced economic activity (especially at the on-set of the pandemic) thus the Telco's earnings were lower in 1H21 but recovered in 2H21. The reduced profitability was mainly on account of lower service revenue which was negatively affected by reduced transaction cost on M-PESA services.

Key highlights

- **Reduced service revenue:** Service revenues declined by 0.3% on the back of a decline in both voice and M-PESA revenue. Voice revenue declined 2.6% y-o-y to KES 92.0 bn while M-PESA revenue was down 2.1% y-o-y to KES 82.6bn.

- **Declining ARPU:** The average revenue per user (ARPU) for the 90 day active total customers declined by 10.3% to KES 551.35. This was due to a decline in M-PESA, voice, and SMS ARPUs which declined by 12.9%, 10.3%, and 13.2% respectively. We expect M-PESA ARPU to increase in FY22 as the number of users increase and transactions below KES 1000 are no longer zero rated.

- **Operating expense decline:** During the period, operating costs declined by 3.2%. We believe that cost controls will be a key focus area for Safaricom's CEO, Mr. Ndegwa, thus we expect operating costs to continue to decline. However, he may face some challenges in implementing some of his cost control initiatives especially with regards to employee costs (employee benefits at 39% is the largest cost component).

- **M-PESA likely to drive revenue growth:** In FY21, M-PESA revenue was down 2.1% mainly due to the zero rating of transactions below KES 1000. However, active users increased by 13.6%. M-PESA is now Safaricom's largest contributor of revenue. Going forward, we expect revenue growth to be driven by increased usage of the platform and the re-introduction of charges.

May 13th , 2021

Recommendation:	
Target Price:	**Under review**
Current Price:	**KES 40.10**
52 Week Low:	**KES 25.95**
52 Week High:	**KES 41.25**

Analyst
Sarah Wanga
+254114842208
sw@aib-axysafrica.com

- **Fixed Service and whole transit revenue:** Safaricom geared up its efforts to expand its home internet coverage base and provide healthy packages to counter their competitors. The revenue grew 6.0% y/y to KES 9.5Bn driven by working and schooling from home.

- **Capital Expenditure declines:** 1H of FY21 saw capital investment increase 25.5% y/y to meet increased demand for internet connectivity with the working and schooling from home policies. 2H of FY21 capex declined y/y by 32.1% with the full year CAPEX declining y/y by 3.2%. We expect CAPEX to increase with Safaricom scaling up its operations by introducing 5G network and transforming into a digital IT network.

- **Mobile data revenue growth:** FY20 saw many sectors adopting a remote working policy to curb the spread of corona hence the 11.5% y/y growth. This implied that many households had to subscribe for mobile data or install home internet. Distinct data bundles customers grew 12.4% y/y to 16.71mn, active 4G devices grew 39.8% y/y while customers using more than 1G network grew 31.2%.

- **Fixed data grows as uptake and coverage increases:** During the period, the number of households and businesses connected to Safaricom's network increased by 31.5% and 56.9% respectively. The remote working policy also drove the growth of fiber to the home (FTTH) which saw a 31.5% increase in the number of customers and an 8.5% increase in ARPU. As expected, this development led to a decline in businesses ARPU, down 31.9%.

Overall, Safaricom's performance in was below our expectations. We, however, remain bullish on the prospects of M-PESA and we await further details on Ethiopia.

Income Statement (KES Bn)

	31-Mar-21	31-Mar-20	% Change
Service Revenue	250	251	-0.3%
Handsets and Other revenue	12	10	17.4%
Construction revenue	0.84	0.58	43.5%
Other Income	0.52	0.27	92.8%
Total Revenue	**264**	**263**	**0.6%**
Direct costs	(80.01)	(74.70)	7.1%
Provision for expected credit loss on receivables.	(3.01)	(1.67)	80.3%
Construction costs	(0.84)	(0.58)	43.5%
Other Expenses	(46.03)	(47.56)	-3.2%
EBITDA	**134**	**138**	**-2.8%**
Depreciation and amortization.	(38)	(36)	3.9%
EBIT	**96**	**101**	**-5.3%**
Net Finance Income	(2.02)	0.92	<(100%)
Share of profit of associate & Joint Venture	(0.51)	3.36	<(100%)
Profit before Income Tax	**94**	**106**	**-11.5%**
Income tax expense	(25)	(32)	-22.3%
Profit After Tax.	**69**	**74**	**-6.8%**
Profit and total comprehensive for the year.	**69**	**74**	**-6.8%**
Basic and Diluted EPS	1.71	1.84	-6.8%
Dividend Per share	1.37	1.40	-2.14%

Balance Sheet (KES Bn)

	31-Mar-21	31-Mar-20	% Change
Non Current Assets	174,719	164,402	6.3%
Current Assets	55,909	48,822	14.5%
Current Liabilities	75,452	56,500	33.5%
Total Assets	**155,176**	**156,724**	**-0.98%**
Shareholder Funds	137,635	143,080	**-3.8%**
Non Current Liabilities	17,541	13,644	28.6%
Total Equity and Non-Current Liabilities	**155,176**	**156,724**	**-0.98%**

CONTACTS:

Research Desk
Sarah Wanga
Head of Research

Linda Kiraithe
Research Analyst

Email: research@aib-axysafrica.com

Equities Dealing
Bernard Kung'u

Benard Gichuru

Brian Tanui

Samuel Githinji

Sheema Shah

Samuel Wachira

Email: trading@aib-axysafrica.com

Bond Dealing
Crispus Otieno

Titus Marenye

Email: trading@aib-axysafrica.com

Disclaimer

AIB-AXYS Africa and its parent company AXYS Group seek to do business with companies covered in their research reports. Consequently, a conflict of interest may arise that could affect the objectivity of this report. This document should only be considered a single factor used by investors in making their investment decisions. The reader should independently evaluate the investment risks and is solely responsible for their investment decisions. The opinions and information portrayed in this report may change without prior notice to investors.

This publication may not be distributed to the public media or quoted or used by the public media without prior and express written consent of AIB-AXYS Africa or AXYS Group.

This document does not constitute an offer, or the solicitation of an offer, for the sale or purchase of any security. Whilst every care has been taken in preparing this document, no representation, warranty or undertaking (express or implied) is given and no responsibility or liability is accepted by AIB-AXYS Africa or any of its employees as to the accuracy of the information contained and opinions expressed in this report.